PENNSYLVANIA MEDICAL BILL DEFENSE TOOLKIT & QUICK CHECKLIST

Comprehensive Action Guide and Legal Reference for Pennsylvania Consumers

⚠️ CRITICAL WARNINGS — WHAT NOT TO DO

- **DO NOT IGNORE COURT PAPERS:** If you receive a civil complaint or summons, you must respond within the court-mandated deadline. Contact legal aid or an attorney immediately.
- **DO NOT MAKE PARTIAL PAYMENTS:** Under Pennsylvania law (\text{42 Pa.C.S. § 5525(a)}), making even a nominal token payment or written acknowledgment on a time-barred or disputed debt restarts the 4-year statute of limitations clock back to day zero. Pay \$0 while a dispute is pending.
- **DO NOT MISS INSURANCE APPEAL DEADLINES:** Standard internal insurance appeals must be filed within 180 days of receiving an adverse benefit determination (EOB).

PART 1: THE TWO-TRACK DISPUTE ARCHITECTURE

When confronting unlawful medical debt or surprise out-of-network balance bills, consumers must utilize a dual-track strategy to separate insurance adjudication from provider collection practices:

1. **Track 1: Insurer Coverage Adjudication**
    - Focuses on the health plan contract and federal/state balance-billing caps.
    - If a commercial health plan denies coverage or miscalculates cost-sharing, file a formal internal appeal. If denied, escalate immediately to the Pennsylvania Insurance Department (PID) Independent External Review program, which achieves a 50.1\% to 50.6\% statutory overturn rate.
2. **Track 2: Provider & Collection Rescission**
    - Targets hospital billing departments and third-party debt collectors.
    - Issues a formal Notice of Statutory Dispute under the federal No Surprises Act (\text{45 C.F.R. Part 149}), the Pennsylvania Fair Credit Extension Uniformity Act (\text{73 P.S. § 2270.1} et seq.), and the 4-year contract statute of limitations (\text{42 Pa.C.S. § 5525(a)}) to freeze collection efforts and force balance reductions to \$0.00.

PART 2: CONSUMER QUICK CHECKLIST (ONE-PAGE ACTION GUIDE)

Step 1: Triage Your Bill (5 Minutes)

- **Emergency or Out-of-Network Ancillary Care?** (Anesthesia, radiology, pathology at an in-network facility) \rightarrow Protected by the federal No Surprises Act (\text{45 C.F.R. § 149.110} / § 149.120).
- **Non-Profit Hospital?** \rightarrow Protected by IRS Section 501(\text{r}) Financial Assistance Policy (FAP) rules (\text{26 U.S.C. § 501(r)(6)}).
- **Debt Age > 4 Years from Default?** \rightarrow Legally time-barred under \text{42 Pa.C.S. § 5525(a)}.

Step 2: Gather Documentation (Day 1)

- [ ] Itemized billing statement from provider
- [ ] Explanation of Benefits (EOB) from insurer
- [ ] Insurance card copy (front and back)
- [ ] Registration forms / signed consent waivers (if any)

Step 3: Send Dispute Notice (Days 1 \text{--} 7)

- Send via **USPS Certified Mail with Return Receipt Requested**.
- Enclose dispute letter (see templates below) demanding immediate hold on collection and credit reporting.

Step 4: Regulatory Escalation (Days 30 \text{--} 60)

If the provider or collector ignores your dispute, file concurrent complaints with:

- **PA Insurance Department (PID):** 1\text{-}877\text{-}881\text{-}6388 (\text{insurance.pa.gov}) for fully insured plans.
- **CMS No Surprises Help Desk:** 1\text{-}800\text{-}985\text{-}3059 (\text{cms.gov/nosurprises}) for self-funded ERISA or federal issues.
- **PA Attorney General (Bureau of Consumer Protection):** 1\text{-}800\text{-}441\text{-}2555 for debt collection violations under FCEUA / UTPCPL.

PART 3: DISPUTE LETTER TEMPLATES

Template A: Notice of Statutory Dispute & Balance Billing Invalidation

```
[Your Full Name]
[Street Address]
[City, PA ZIP]
[Phone] | [Email]

[Date]

VIA CERTIFIED MAIL, RETURN RECEIPT REQUESTED
Tracking #: [Number]

[Provider / Hospital Billing Department Name]
[Provider Street Address]
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[City, State ZIP]

Re: Formal Notice of Dispute and Demand for Rescission, Account # [Account Number]
Date(s) of Service: [Dates]
Disputed Balance: $[Amount]

Dear Billing Manager:

I am writing to formally dispute the balance bill referenced above. I am disputing this amount in writing and request that you respond in writing.

1. Basis for Dispute (No Surprises Act Protections)
The services in question were [choose applicable: emergency services / out-of-network ancillary services, including anesthesiology, radiology, or pathology, rendered at an in-network facility]. Under the federal No Surprises Act (Title I of Division BB of the Consolidated Appropriations Act, 2021; 45 C.F.R. Part 149), out-of-network providers are strictly prohibited from balance billing patients beyond established in-network cost-sharing based on the Qualifying Payment Amount (QPA). No valid, executed notice-and-consent waiver complying with 45 C.F.R. § 149.420 was ever provided or executed.

2. Pennsylvania Debt Collection Safeguards
To the extent your entity is attempting to collect this balance, you are subject to the Pennsylvania Fair Credit Extension Uniformity Act (FCEUA), 73 P.S. § 2270.1 et seq. Attempting to collect amounts prohibited by federal law constitutes an unfair and deceptive debt collection practice under 73 P.S. § 2270.4, which also triggers per se liability under Pennsylvania's Unfair Trade Practices and Consumer Protection Law (UTPCPL), 73 P.S. § 201-1 et seq.

Furthermore, pursuant to 42 Pa.C.S. § 5525(a), medical debt actions are subject to a strict 4-year statute of limitations. Notice is hereby given that I refuse to make any partial payments or token disbursements, as any voluntary payment would unlawfully reset the 4-year statutory limitation clock under Pennsylvania law.

3. Required Remedial Actions
Please take the following actions immediately:
a. Freeze all collection activity on this account, including phone calls, written demands, and credit bureau reporting, while this dispute is pending.
b. Rescind and cancel the out-of-network balance charge, reducing my liability to $0.00 (or correct in-network cost-sharing).
c. Withdraw direct billing and pursue any reimbursement claims

directly with my health plan through the Federal IDR portal pursuant to 45 C.F.R. § 149.510.

Please respond in writing within thirty (30) days confirming that this account has been adjusted. If unresolved, I will file formal regulatory complaints with the Pennsylvania Insurance Department and the CMS No Surprises Help Desk.

Sincerely,

[Signature]
[Printed Name]

Template B: Pennsylvania Insurance Department Complaint Narrative

COMPLAINT NARRATIVE - PENNSYLVANIA INSURANCE DEPARTMENT
Consumer Services Bureau

1. Complainant & Plan Information:
- Complainant Name: [Your Full Name]
- Insurer Name: [Insurance Company Name]
- Policy / Subscriber ID: [Policy ID Number]
- Plan Type: Fully Insured Commercial Major Medical

2. Provider & Billing Details:
- Provider / Facility Name: [Provider Name]
- Account / Billing Number: [Account Number]
- Date(s) of Service: [Dates]
- Disputed Balance Amount: $[Amount]

3. Statement of Grievance & No Surprises Act Violations:
I am filing this formal complaint against [Insurance Company Name] and [Provider Name] regarding an unlawful balance bill issued in violation of the federal No Surprises Act (45 C.F.R. Part 149) and Pennsylvania insurance standards. The services rendered were protected emergency or out-of-network ancillary services performed at an in-network facility without a valid consent waiver under 45 C.F.R. § 149.420. Despite statutory protections, the provider has billed $[Amount] in excess of correct in-network cost-sharing.

4. State Debt Collection & Consumer Protection Violations:
Concurrently, the hospital collection department has pursued collection activity while this dispute is active, violating the Pennsylvania Fair Credit Extension Uniformity Act (FCEUA), 73 P.S. § 2270.4, which constitutes a per se violation of the UTPCPL (73 P.S. § 201-1 et seq.).

5. Requested Relief:
I respectfully request that the Pennsylvania Insurance Department:
a. Compel immediate reprocessing of the claim in compliance with No Surprises Act cost-sharing limits.
b. Investigate [Provider Name] for improper balance billing and demand the immediate cessation of collection activity and removal of derogatory credit reporting.

PART 4: ASSET PROTECTIONS & STATUTORY REFERENCE MATRIX

Statutory Provision / Rule	Legal Scope & Rule	Consumer / Litigation Impact
No Surprises Act (\text{45 C.F.R. Part 149})	Prohibits out-of-network balance billing for emergency and ancillary care at in-network facilities.	Caps patient liability at in-network cost-sharing based on the QPA; mandates Federal IDR.
IRS § 501(r)(6) (\text{26 U.S.C. § 501(r)})	Mandates a 120-day ECA prohibition window and 240-day FAP application window for non-profit hospitals.	Prevents lawsuits, liens, and credit reporting before reasonable financial assistance screening.
PA Contract Limitation (\text{42 Pa.C.S. § 5525(a)})	Establishes a strict 4-year statute of limitations on medical debt contracts measured from default.	Complete affirmative defense against untimely collection lawsuits; protected by the "No-Payment" Rule.
PA FCEUA (\text{73 P.S. § 2270.1} et seq.)	Regulates debt collection practices of first-party hospital creditors and third-party agencies.	Prohibits deceptive collection tactics during active disputes; creates *per se* UTPCPL liability.
PA Wage Exemption (\text{42 Pa.C.S. § 8127})	Strictly exempts personal earnings and wages from attachment for ordinary medical debt judgments.	Shields employee wages from garnishment by medical creditors in Pennsylvania courts.
Tenancy by the Entireties	Shields joint real estate and marital property from individual medical debts of one spouse.	Protects family homes from single-spouse medical judgments.